FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 28 FEBRUARY 2025

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The director presents the statement to the member together with the financial statements of (the "Company") for the financial year ended 28 February 2025.

1. Opinion of the director

In the opinion of the director,

(a) the financial statements of the Company are drawn up so as to give a true and fair view of the financial position of the Company as at 28 February 2025 and the financial performance, changes in equity and cash flows of the Company for the financial year then ended, and

(b) at the date of this statement, there are reasonable grounds to believe that the Company will be able to pay its debts as and when they fall due.

2. Director

The director of the Company in office at the date of this statement is:

3. Arrangements to enable directors to acquire shares or debentures

Neither at the end of nor at any time during the financial year was the Company a party to any arrangement whose objects are, or one whose objects is, to enable the director of the Company to acquire benefits by means of the acquisition of shares in, or debentures of, the Company or any other body corporate.

4. Director interest in shares or debentures

According to the register of director's shareholdings kept by the Company under Section 164 of the Singapore Companies Act 1967 (the "Act"), the director of the Company who held office at the end of the financial year had no interests in shares or debentures of the Company and its related corporations except as stated below:

	Direct interest	
Name of director	At the beginning of financial year	At the end of financial year
Ordinary shares of the Company		
	300,000	350,000

5. Share options

There were no share options granted during the financial year to subscribe for unissued shares of the Company.

There were no shares issued during the financial year by virtue of the exercise of options to take up unissued shares of the Company.

There were no unissued shares of the Company under option at the end of the financial year.

The Sole Director,

Director

Singapore
14 August 2025

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INDEPENDENT PRACTITIONER'S REVIEW REPORT
TO THE MEMBER OF EQUESTZ PTE. LTD.
FOR THE FINANCIAL YEAR ENDED 28 FEBRUARY 2025

We have reviewed the accompanying financial statements of that comprise the statement of financial position as at 28 February 2025, and the statement of profit or loss and comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and a summary of material accounting policy information and other explanatory information.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with the Singapore Financial Reporting Standard, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Practitioner's Responsibility

Our responsibility is to express a conclusion on the accompanying financial statements. We conducted our review in accordance with Singapore Standard on Review Engagements (SSRE) 2400 (Revised), Engagements to *Review Historical Financial Statements*. SSRE 2400 (Revised) requires us to conclude whether anything has come to our attention that causes us to believe that the financial statements, taken as a whole, are not prepared in all material respects in accordance with the applicable financial reporting framework. This Standard also requires us to comply with relevant ethical requirements.

A review of financial statements in accordance with SSRE 2400 (Revised) is a limited assurance engagement. The practitioner performs procedures, primarily consisting of making inquiries of management and others within the entity, as appropriate, and applying analytical procedures, and evaluates the evidence obtained.

The procedures performed in a review are substantially less than those performed in an audit conducted in accordance with Singapore Standards on Auditing. Accordingly, we do not express an audit opinion on these financial statements.

Other Information

Management is responsible for the other information. The other information comprises the Director's Statement set out on pages 1 to 2.

Our conclusion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

Conclusion

Based on our review, nothing has come to our attention that causes us to believe that these financial statements do not present fairly, in all material respects, the financial position of Equestz Pte. Ltd. as at 28 February 2025, and its financial performance and cash flows for the year then ended, in accordance with the Singapore Financial Reporting Standard.

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DERISCHE PAC
Public Accountants and Chartered Accountants

Singapore
14 August 2025

	Note	2025 S$	2024 S$
Revenue	4	**40,580**	101,563
Cost of goods sold and services rendered		**(16,885)**	(86,254)
Gross profit		**23,695**	15,309
Other income	5	**2,163**	2,725
Administrative and other expenses		**(113,415)**	(70,580)
Loss before income tax	6	**(87,557)**	(52,546)
Income tax expense	7	**-**	-
Loss for the year, representing total comprehensive loss for the year		**(87,557)**	(52,546)

The accompanying notes form an integral part of these financial statements.

	Note	2025 S$	2024 S$
ASSETS			
Current assets			
Cash and cash equivalents	8	**18,742**	13,916
Trade and other receivables	9	**20,444**	26,605
		39,186	40,521
Total assets		**39,186**	40,521
LIABILITIES			
Current liabilities			
Trade and other payables	10	**27,276**	7,054
Total liabilities		**27,276**	7,054
Net assets		**11,910**	33,467
EQUITY			
Share capital	11	**350,000**	300,000
Share application money	12	**36,000**	20,000
Accumulated losses		**(374,090)**	(286,533)
Equity attributable to owner of the Company		**11,910**	33,467

The accompanying notes form an integral part of these financial statements.

	Share capital	Share application money	Accumulated losses	Total
	S$	**S$**	**S$**	**S$**
At 1 March 2023	200,000	-	(233,987)	(33,987)
Proceed from issuance of shares (Note 11)	100,000	-	-	100,000
Share application money (Note 12)	-	20,000	-	20,000
Loss for the year, representing total comprehensive loss for the year	-	-	(52,546)	(52,546)
At 28 February 2024	300,000	20,000	(286,533)	33,467
At 1 March 2024	300,000	20,000	(286,533)	33,467
Proceed from issuance of shares (Note 11)	50,000	-	-	-
Share application money (Note 12)	-	16,000	-	66,000
Loss for the year, representing total comprehensive loss for the year	-	-	(87,557)	(87.557)
At 28 February 2025	**350,000**	**36,000**	**(374,090)**	**11,910**

The accompanying notes form an integral part of these financial statements.

	Note	2025 S$	2024 S$
Cash flows from operating activities			
Loss before tax		**(87,557)**	(52,546)
Changes in working capital:			
Trade and other receivables		**6,450**	(25,884)
Trade and other payables		**19,933**	(65,454)
Net cash used in operating activities		**(61,174)**	(143,884)
Cash flows from financing activity			
Proceed from issuance of shares		**30,000**	100,000
Share application money received		**36,000**	20,000
Net cash generated from financing activity		**66,000**	120,000
Net increase/(decrease) in cash and cash equivalents		**4,826**	(23,884)
Cash and cash equivalents at start of year		**13,916**	37,800
Cash and cash equivalents at end of year	8	**18,742**	13,916

These notes form an integral part of and should be read in conjunction with the accompanying financial statements.

1. General

Equestz Pte. Ltd. (the "Company") is incorporated and domiciled in Singapore with its registered office at 1 Shenton Way, #16-01, One Shenton, Singapore 068803 and principal place of business at 85 Punggol Central, #01-01, Singapore 828726.

The principal activities of the Company are those relating to travel agencies and tour operators.

2. Summary of material accounting policies

2.1 Basis of preparation

The financial statements of the Company have been drawn up in accordance with Singapore Financial Reporting Standards ("FRS"). The financial statements have been prepared on the historical cost basis except as disclosed in the accounting policies below.

The financial statements are presented in Singapore Dollar (S$), which is the Company's functional currency.

2.2 Adoption of new and revised standards

The accounting policies adopted are consistent with those of the previous financial year except that in the current financial year, the Company has adopted all the new and amended standards which are relevant to the Company and are effective for annual financial periods beginning on or after 1 March 2024. The adoption of these standards did not have any material effect on the financial performance or position of the Company.

2.3 Standards issued but not yet effective

The Company has not adopted the following standards applicable to the Company that have been issued but not yet effective:

Description	**Effective for annual periods beginning on or after**
Amendments to FRS 109 *Financial Instruments and* FRS 107 *Financial Instruments: Disclosures:* Amendments to Classification and Measurement of Financial Instruments	1 January 2026
Annual Improvements t FRSs Volume 11	1 January 2026
FRS 118 *Presentation and Disclosure in Financial Statements*	1 January 2027

The director expects that the adoption of the standards above will have no material impact on the financial statements in the year of initial application.

2.4 Cash and cash equivalents

Cash and cash equivalents comprise cash at banks which is subject to an insignificant risk of changes in value.

2. Summary of material accounting policies – (Continued)

2.5 Financial assets

(a) Classification and measurement

The Company classified its financial assets in the following measurement categories:

- Amortised cost:
- Fair value through other comprehensive income (FVOCI); and
- Fair value through profit or loss (FVPL).

The classification depends on the Company's business model for managing its financial assets as well as the contractual terms of the cash flows of the financial assets.

The Company's business model refers to how the Company manages its financial assets in order to generate cash flows which determines whether cash flows will result from collecting contractual cash flows, selling financial assets or both.

The Company classifies debt instruments when and only when its business model for managing those assets changes.

At initial recognition

At initial recognition, the Company measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs that are directly attributable to the acquisition of the financial assets. Transaction costs of financial assets carried at fair value through profit or loss are expensed in profit or loss.

Trade receivables are measured at the amount of consideration to which the Company expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third party, of the trade receivables do not contain a significant financing component at initial recognition.

At subsequent measurement

(i) Debt instruments

The Company's debt instruments comprise of cash and cash equivalents and trade and other receivables at amortised cost.

There are three subsequent measurement categories, depending on the Company's business model for managing the asset and the cash flow characteristics of the asset.

The Company only has debt instruments that are subsequently measured at amortised cost.

Amortised cost

Debt instruments that are held for collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortised cost. A gain or loss on a debt instrument that is subsequently measurement at amortised cost and is not part of the hedging relationship is recognised in profit or loss when the asset is derecognized or impairment. Interest income from these financial assets in included in interest income using the effective interest rate method.

2. Summary of material accounting policies – (Continued)

2.5 Financial assets – (Continued)

(a) Classification and measurement – (continued)

At subsequent measurement – (continued)

(ii) Equity instruments

The Company does not have equity instruments as at the end of the reporting period.

(b) Impairment

The Company assesses on a forward-looking basis the expected credit losses associated with its debt financial assets carried at amortised cost and FVOCI. The impairment methodology applied depends on whether there has been a significant increase in credit risk.

For trade receivables, the Company applies the simplified approach permitted by FRS 109, which requires expected lifetime losses to be recognised from initial recognition of the receivables.

(c) Recognition and derecognition

Regular way purchases and sales of financial assets are recognised on trade date – the date on which the Company commits to purchase or sell the asset.

Financial assets derecognized when the rights to receive the cash flows from the financial assets have expired or have been transferred and the Company has transferred substantially all risks and rewards of ownerships.

On disposal of a debt instrument, the difference between the carrying amount and the sale proceeds is recognised in profit or loss. Any amount previously recognised in other comprehensive income relating to that asset is reclassified to profit or loss.

On disposal of an equity instrument, the difference between the carrying amount and sales proceeds is recognised in profit or loss if there was no election made to recognise fair value changes in other comprehensive income. If there was an election made, any difference between the carrying amount and sales proceed amount would be recognised in other comprehensive income and transferred to retained profits along with the amount previously recognised in other comprehensive income relating to that asset.

2.6 Trade and other payables

Trade and other payables represent liabilities for goods and service provided to the Company prior to the end of the financial year which are unpaid. They are classified as current liabilities if payment is due within one year or less (or in the normal operating cycle of the business if longer). Otherwise, they are presented as non-current liabilities.

Trade and other payables are initially recognised at fair value, and subsequently carried at amortised cost using the effective interest method.

2. Summary of material accounting policies – (Continued)

2.7 Provisions

Provisions are recognised when the Company has a present legal or constructive obligation as a result of past event, it is probable that an outflow of economic resources will be required to settle the obligation and the amount of the obligation can be estimated reliably.

Provisions are reviewed at each reporting date and adjusted to reflect the current best estimate. If it is no longer probable that an outflow of economic resources will be required to settle the obligations, the provision is reversed. If the effect of the time value of money is material, provisions are discounted using a current pre tax rate that reflects, where appropriate, the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

2.8 Revenue recognition

Revenue is measured based on the consideration to which the Company expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third parties.

Revenue is recognised when the Company satisfies a performance obligation by transferring a promised good or service to the customer, which is when the customer obtains control of the good or service. A performance obligation may be satisfied at a point in time or over time. The amount of revenue recognised is the amount allocated to the satisfied performance obligation.

Sales of goods

Revenue is recognised when the goods on health supplements are delivered to the customer and all criteria for acceptance have been satisfied.

Sales of tour packages

The Company provides services to its customers as travel agency and tour operators. Revenue is recognised upon commencement of each tour group. A receivable is recognised by the Company when the services are delivered to the customer as this represents the point in time at which the right to consideration becomes unconditional, as only the passage of time is required before payment is due.

2.9 Employee benefits

(a) Defined contribution plans

The Company makes contributions to the Central Provident Fund scheme in Singapore, a defined contribution pension scheme. Contributions to defined contribution pension schemes are recognised as an expense in the period in which the related service is performed.

(b) Short-term employee benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognised for the amount expected to be paid if the Company has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee, and the obligation can be estimated reliably.

2. Summary of material accounting policies – (Continued)

2.10 Government grants

Government grants are recognised at fair value when there is reasonable assurance that the conditions attaching to them will be compiled with and that the grants will be received. Grants in recognition of specific expenses are recognised in profit or loss on a systematic basis over the periods necessary to match them with the related costs that they are intended to compensate.

Government grants relating to expenses are shown separately as other income.

2.11 Taxes

(a) Current income tax

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authority. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted at the reporting date.
Current income taxes are recognised in profit or loss except to the extent that the tax relates to items recognised outside profit or loss, either in other comprehensive income or directly in equity. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

(b) Deferred tax

Deferred tax is provided using the liability method on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the end of each reporting period.

Deferred tax assets and deferred tax liabilities are offset, if a legally enforceable right exists to set off current income tax assets against current income tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

(c) Goods and services tax (GST)

Revenue, expenses and assets are recognised net of the amount of GST except:

- where the GST incurred on a purchase of assets or services is not recoverable from the taxation authority, in which case the GST is recognised as part of the cost of acquisition of the asset or as part of the expense item as applicable; and

- receivables and payables that are stated with the amount of GST included.

The net amount of GST recoverable from, or payable to, the taxation authority is included as part of receivables or payables in the statement of financial position.

2. Summary of material accounting policies – (Continued)

2.12 Foreign currency transactions and balances

Transactions in foreign currencies are measured in the functional currency of the Company and are recorded on initial recognition in the functional currency at exchange rates approximating those ruling at the transaction dates. Monetary assets and liabilities denominated in foreign currencies are translated at the rate of exchange ruling at the reporting date. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was measured.
Exchange differences arising on the settlement of monetary items or on translating monetary items at the reporting period are recognised in profit or loss.

2.13 Share capital

Proceeds from issuance of ordinary shares are recognised as share capital in equity. Incremental costs directly attributable to the issuance of ordinary shares are deducted against share capital.

3. Significant accounting judgements and estimates

The preparation of the Company's financial statements requires management to make judgements, estimates and assumptions that effect the reported amounts of revenues, expenses, assets and liabilities, and the disclosure of contingent liabilities at the end of each reporting period. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of asset or liability affected in the future periods.

3.1 Judgements made in applying accounting policies

The management is of the opinion that there are no significant judgments made in applying accounting estimates and policies that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year.

3.2 Key sources of estimating uncertainty

Provision for expected credit losses of trade receivables

The Company uses a provision matrix to calculate ECLs for trade receivables. The provision rates are based on days past due for groupings of various customer segments that have similar loss patterns.

The provision matrix is initially based on the Company's historical observed default rates. The Company will calibrate the matrix to adjust historical credit loss experience with forward-looking information. At every reporting date, historical default rates are updated and changes in the forward-looking estimates are analysed.

The assessment of the correlation between historical observed default rates, forecast economic conditions and ECLs is a significant estimate. The amount of ECLs is sensitive to changes in circumstances and of forecast economic conditions. The Company's historical credit loss experience and forecast of economic conditions may also not be representative of customer's actual default in the future. The information about the ECLs on the Company's trade receivables is disclosed in Note 15(a)(i).

The carrying amount of the Company's trade receivables is disclosed in Note 9.

4. Revenue

	2025	2024
	S$	S$
<u>Type of goods and service</u>		
Sale of good	**7,205**	482
Sales of tour packages	**33,375**	101,081
Tour operating and ticketing services	**40,580**	101,563
<u>Timing of transfer of goods or service</u>		
At a point in time	**40,580**	101,583

5. Other income

Other income mainly comprised CIT rebate cash grant from IRAS amounting to S$2,000 (2024: S$2,000).

6. Profit before income tax

Profit before income tax has been arrived at charging of employee benefits expense (including key management personnel remuneration) of salary and its related cost and CPF contribution amounting to S$79,633 and S$10,253 (2024: S$51,650 and S$16,656) respectively.

7. Income tax expense

There is no income tax expense recognised in profit or loss for the financial years ended 28 February 2025 and 2024.

<u>Relationship between tax expense and accounting profit</u>

Reconciliation between tax expense and the product of accounting loss multiplied by the applicable tax rate for the financial years ended were as follows:

	2025	2024
	S$	S$
Profit before tax	(87,557)	(52,546)
Tax using statutory rate of 17% (2023:17%)	(14,885)	(8,900)
Effects of:		
Utilisation of capital allowance carried forward	14,885	8,900
Utilisation of losses carried forward	[•]	
	[•]	-

Deferred income tax assets are recognised for tax losses carried forward to the extent that realisation of the related tax benefits through future taxable profits is probable. The Company has unrecognised tax losses of S$140,103 (2024: S$52.546) respectively at the reporting date which can be carried forward and used to offset against future taxable income subject to meeting certain statutory requirements. The tax losses have no expiry date.

8. Cash and cash equivalents

Cash and cash equivalents as at the end of the financial reporting period comprised cash at bank.

9. Trade and other receivables

	2025 S$	2024 S$
Trade receivables:		
- Third parties	**2,891**	1,358
Other receivables:		
Due by a director	**16,152**	24,934
GST	**836**	22
Prepayments	**565**	291
	17,553	25,247
	20,444	26,605

Trade receivables are non-interest bearing and are generally on 30 days terms.

The amount due from director is unsecured, non-interest bearing and repayable on demand.

10. Trade and other payables

	2025 S$	2024 S$
Trade payables		
- Third parties	**18,634**	441
Other payables:		
Accrued operating expenses	**8,642**	6,613
	27,276	7,054

Trade payables are non-interest bearing and are generally on 30 days terms.

11. Share capital

	2025		2024	
	No. of Shares	**S$**	No. of Shares	S$
Issued and fully paid ordinary shares				
At start of year	**300,000**	**300,000**	200,000	200,000
Issuance of shares	**50,000**	**50,000**	100,000	100,000
At end of year	**350,000**	**350,000**	300,000	300,000

The holders of ordinary shares are entitled to receive dividends as and when declared by the Company. All ordinary shares carry one vote per share without restrictions. The ordinary shares have no par value.

During the financial year, the Company issued 50,000 ordinary shares for cash consideration of S$50,000 received in the current financial year.

12. Share application money

As at the end of the reporting period, the cash consideration received amounting to S$36,000 (2024: S$20,000) relates to share application money of which the Company has not issued the ordinary shares.

13. Significant related party transactions

In addition to the related party information disclosed elsewhere in the financial statements, the following transactions with related parties took place at terms agreed between the parties during the financial year:

	2025	2024
	S$	S$
Transactions with a related party		
Sale of tour package	**1,298**	-
Purchase of goods	**5,344**	-

	2025	2024
	S$	S$
Key management personnel compensation		
Director's salaries	**60,156**	51,650
Employer's CPF contribution	**6,950**	16,656
	67,106	68,306

14. Fair value of assets and liabilities

(a) Assets measured at fair value

As at the reporting date, there is no class of assets measured at fair value.

(b) Assets and liabilities not measured at fair value

Cash and cash equivalents, other receivables and other payables

The carrying amounts of these balances approximate their fair values due to the short-term nature of these balances.

Trade receivables and trade payables

The carrying amounts of these receivables and payables approximate their fair values as they are subject to normal trade credit terms.

15. Financial risk management

The Company's activities expose it to a variety of financial risks from its operation. The key financial risks include liquidity risk, credit risk and market risk (including foreign currency risk and interest rate risk).

The Board of Directors reviews and agrees policies and procedures for the management of these risks, which are executed by the management team. It is, and has been throughout the current and previous financial year, the Company's policy that no trading in derivatives for speculative purposes shall be undertaken.

The following sections provide details regarding the Company's exposure to the abovementioned financial risks and the objectives, policies and processes for the management of these risks.

There has been no change to the Company's exposure to these financial risks or the manner in which it manages and measures the risks.

(a) Credit risk

Credit risk refers to the risk that the counterparty will default on its contractual obligations resulting in a loss to the Company. The Company's exposure to credit risk arises primarily from trade and other receivables. The Company has adopted a policy of only dealing with creditworthy counterparties.

The Company's credit risk arises from bank balances and trade and other receivables. Bank balances are mainly deposits with banks with high credit-ratings assigned by international credit rating agencies and the Company does not expect the impairment loss form bank balances to be material, if any.

The Company considers the probability of default upon initial recognition of asset and whether there has been a significant increase in credit risk on an ongoing basis throughout each reporting period.

To assess and manage its credit risk, the Company categories the aforementioned financial assets according to their risk of default. The Company defines default to have taken place when internal or/external information indicates that the financial asset is unlikely to be received, which could include a breach of debt covenant, and/or where contractual payments are 90 days past due or there is significant difficulty of the counterparty.

15. Financial risk management – (Continued)

(a) Credit risk – (Continued)

In their assessment, the management considers, amongst other factors, the latest relevant credit ratings from reputable external rating agencies where available and deemed appropriate, historical credit experiences, latest available financial information, latest applicable credit reputation of the debtor and the Company's own trading records to rate its major customers and other debtors.

The Company's current credit risk grading framework comprises the following categories:

Category	Definition of category	Basis for recognising expected credit loss (ECL)
I	Low credit risk Note 1	12-month ECL
II	Non-significant increase in credit risks since initial recognition and financial asset is less than or equal 30 days past due	12-month ECL
III	Significant increase in credit risk since initial recognition Note 2 or financial asset is >30 days past due	Lifetime ECL
IV	Evidence indicates that financial asset is credit-impaired Note 3	Lifetime ECL – credit impaired
V	Evidence indicates that the management has no reasonable expectations of recovering the write off amount Note 4	Written-off

Note 1. Low credit risk

The financial asset is determined to have low credit risk if the financial assets have a low risk of default, does not have any past due-amounts, the counterparty has a strong capacity to meet its contractual cash flow obligations in the near term and adverse changes in economic and business conditions in the longer term may, but will not necessarily, reduce the ability of the counterparty to fulfils its contractual cash flows obligations. Generally, this is the case when the Company assesses and determines that the debtor has been, is in and is highly likely to be, in the foreseeable future and during the (contractual) term of the financial asset, in a financial position that will allow the debtor to settle the financial asset as and when it falls due.

Note 2. Significant increase in credit risk

In assessing whether the credit risk of the financial asset has increased significantly since initial recognition, the Company compares the risk of default occurring on the financial asset as of reporting date with the risk of default occurring on the financial asset as of date of initial recognition, and considered reasonable and supportable information, that is available without undue cost or effort, that is indicative of significant increases in credit risk since initial recognition.

15. Financial risks management (continued)

(a) Credit risk (continued)

Note 2. Significant increase in credit risk (continued)

In assessing whether the credit risk of the financial asset has increased significantly since initial recognition, the Company compares the risk of default occurring on the financial asset as of reporting date with the risk of default occurring on the financial asset as of date of initial recognition, and considered reasonable and supportable information, that is available without undue cost or effort, that is indicative of significant increases in credit risk since initial recognition.

In assessing the significant of the change in the risk of default, the Company considers both past due (i.e. whether it is more than 30 days past due) and forward looking quantitative and qualitative information.

Forward looking information includes the assessment of the latest performance and financial position of the debtor, adjusted for the Company's future outlook of the industry in which the debtor operates based on independently obtained information (e.g. expert reports, analyst's report etc) and the most recent news or market talks about the debtor, as applicable. In its assessment, the Company will generally, for example, assess whether the deterioration of the financial performance and/or financial position, adverse change in the economic environment (country and industry in which the debtor operates), deterioration of credit risk of the debtor, etc. is in line with its expectation as of the date of initial recognition of the financial asset. Irrespective of the outcome of the above assessment, the Company presumes that the credit risk on a financial asset has increased significantly since initial recognition when contract payment are >30 days past due, unless the Company has reasonable and supportable information that demonstrate otherwise.

Note 3. Credit impaired

In determining whether financial assets are credit-impaired, the Company assess whether one or more events thar have a detrimental impact on the estimated future cashflows of the financial asset have occurred. Evidence that a financial asset is credit impaired includes the following observable data:

- Significant financial difficulty of the debtor;
- Breach of contract, such as a default or being more than 90 days past due;
- It is becoming probable that the debtor will enter bankruptcy or other financial reorganisation; or
- The disappearance of an active market for the financial asset because of financial difficulties.

Note 4. Write off

Generally, the Company writes off the financial asset when it assesses that there is no realistic prospect of recovery of the amount as evidenced by, for example, the debtor's lack of assets or income sources that could generate sufficient cashflows to repay the amounts subjected to the write-off.

The Company performs ongoing credit evaluation of its counterparties' financial condition and generally does not require a collateral.

15. Financial risks management (continued)

(a) Credit risk (continued)

(i) Trade receivables

As part of the process of settling customer credit limits, different credit terms are used. The average credit period generally granted to trade receivable customers is about 30 days (2024: 30 days).

In measuring the expected credit losses ("ECL"), trade receivables are grouped based on shared credit risk characteristics and days past due.

In calculating the expected credit loss rates, the Company considers historical loss rates for each category of customers, and adjusts for forward-looking macroeconomic data. The Company has identified the gross domestic product ("GDP") growth of the countries in which it sells goods and services to be the most relevant factor, and accordingly the historical loss rates based on expected changes in the factor.

The Company considers a financial asset as in default when the counterparty fail to make contractual payments for a prolonged period of time when they fall due, and the Company may considers internal and external information, such as significant adverse changes in business, financial or economic conditions that are expected to cause a significant change to the debtor's ability to meet its obligations. Financial assets are written off when there is no reasonable expectation of recovering the contractual cash flow, such as a debtor failing to engage in a repayment plan with the Company and it is becoming probable that the debtor will enter bankruptcy or other financial reorganization. Where receivables have been written off, the Company continues to engage in enforcement activity to attempt to recover the receivables due. Where recoveries are made, these are recognised in profit or loss.

The Company has assessed and conducted that the expected credit loss rate for trade receivables approximate nil and is immaterial.

The aging for the trade receivables is as follows:

	Current	31 to 60 days	Over 90 days	Total
	S$	S$	S$	S$
2025				
Trade receivables	-	-	2,891	2,891
2024				
Trade receivables	-	-	1,358	1,358

(ii) Other receivables

The Company assessed the latest performance and financial position of the counterparties, adjusted for the future outlook of the industry in which the counterparties operate in, and concluded that there has been no significant increase in the credit risk since the initial recognition of the financial assets. Accordingly, the Company measured the impairment loss allowance using 12-month ECL and determined that the ECL is insignificant.

15. Financial risk management – (Continued)

(b) Liquidity risk

Liquidity risk refers to the risk that the Company will encounter difficulties in meeting its short-term obligations due to shortage of funds. The Company's exposure to liquidity risk arises primarily from mismatches of the maturities of financial assets and liabilities. It is managed by matching the payment and receipt cycles. The Company's objective is to maintain a balance between continuity of funding and flexibility through the use of stand-by credit facilities. The Company's operations are financed mainly through equity. The directors are satisfied that funds are available to finance the operations of the Company.

Analysis of financial instruments by remaining contractual maturities

The table below summaries the maturity profile of the Company's financial assets and liabilities at the reporting date based on contractual undiscounted repayment obligations.

	Carrying amount	Contractual cash flows	Less than one year
2025	**S$**	**S$**	**S$**
Financial assets			
Cash and cash equivalents (Note 8)	**18,742**	**18,742**	**18,742**
Trade and other receivables (Note 9)	**19,043**	**19,043**	**19,043**
Total undiscounted financial assets	**37,785**	**37,785**	**37,785**
Financial liabilities			
Trade and other payables (Note 10)	**27,276**	**27,276**	**27,276**
Total undiscounted financial liabilities	**27,276**	**27,276**	**27,276**
Total net undiscounted financial assets	**10,509**	**10,509**	**10,509**
2024			
Financial assets			
Cash and cash equivalents (Note 8)	13,916	13,916	13,916
Trade and other receivables (Note 9)	24,934	24,934	24,934
Total undiscounted financial assets	38,850	38,850	38,850
Financial liabilities			
Trade and other payables (Note 10)	7,054	7,054	7,054
Total undiscounted financial liabilities	7,054	7,054	7,054
Total net undiscounted financial assets	31,796	31,796	31,796

15. Financial risk management – (Continued)

(c) Market risk

Market risk is the risk that changes in market prices, such as interest rates and foreign exchange rates will affect the Company's income. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return on risk.

(i) Interest rate risk

The interest rate risk exposure mainly arises from changes in floating interest rate. The Company is not exposed to significant interest rate risk as it does not have any significant interest-bearing assets or liabilities. Accordingly, sensitivity analysis is not disclosed.

(ii) Foreign currency risk

The Company's business operations are not exposed to significant foreign currency risk as it has no significant transactions denominated in foreign currencies. Accordingly, sensitivity analysis is not disclosed.

16. Financial instruments by category

At the reporting date, the aggregate carrying amounts of financial assets at amortised cost and financial liabilities at amortised cost were as follows:

	2025	2024
	S$	S$
Financial assets measured at amortised cost		
Cash and cash equivalents (Note 8)	**18,742**	13,916
Trade and other receivables (Note 9)	**19,043**	24,934
Total financial assets measured at amortised cost	**37,785**	38,850
Financial liabilities measured at amortised cost		
Trade and other payables (Note 10)	**27,276**	7,054
Total financial liabilities measured at amortised cost	**27,276**	7,054

17. Comparative information

(a) The financial statements of the Company for the year ended 29 February 2024 were audited by another firm of auditors who expressed an unmodified opinion on those statements on 26 August 2024.

(b) The presentation of the statement of profit or loss in the comparative financial year has been changed from nature to function to conform with the current financial year presentation to provide the most useful structured summary of those expenses.

18. Capital management

The primary objective of the Company's capital management is to ensure that it maintains a strong credit rating and net current asset position in order to support its business and maximise shareholder value. The capital structure of the Company comprises issued share capital and reserves and net debts, which includes other payables and net of cash and cash equivalents.

The Company manages its capital structure and makes adjustment to it, in light of changes in economic conditions. To maintain or adjust the capital structure, the Company may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares. The Company is not subject to any externally imposed capital requirements. No changes were made to the objectives, policies or processes during the financial years ended 28 February 2025 and 28 February 2024.

19. Authorisation of financial statements for issue

The board of directors approved and authorised the financial statements for the financial year ended 28 February 2025 for issue on the date of the statement by directors.